

Employing in China

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant, mandatory written labour contracts under the Labour Contract Law
- **Monthly payroll** — salary payments in CNY, itemised payslips
- **Tax withholding** — Individual Income Tax (IIT) calculated cumulatively and remitted monthly
- **Social insurance & housing fund** — the "five insurances and one fund" (五险一金) contributions and registration
- **Leave and termination management** — notice periods, entitlements and severance guidance

Employment Conditions

Contracts & Probation

A written labour contract is mandatory within 30 days of an employee's start date — failure to do so requires double wages for each month without one, up to 11 months. Probation length is tied to the contract term.

Contract Term	Maximum Probation	Legal Basis
Less than 3 months, or task-based	No probation permitted	Labour Contract Law, Art. 19
3 months – 1 year	1 month	Labour Contract Law, Art. 19
1 – 3 years	2 months	Labour Contract Law, Art. 19
3+ years / open-term	6 months	Labour Contract Law, Art. 19
Written contract deadline	Within 30 days of start; double wages penalty thereafter	Labour Contract Law, Art. 82

Working Hours & Overtime

When Worked	Pay Rate	Authority
Standard hours	8 hrs/day, 40 hrs/week	Labour Law, Art. 36
Weekday overtime	150% of hourly rate	Labour Law, Art. 44
Rest day overtime (no substitute day off)	200% of hourly rate	Labour Law, Art. 44
Statutory holiday worked	300% of hourly rate	Labour Law, Art. 44

Minimum Wage (2026, Illustrative)

China has no single national minimum wage — each province, municipality and city sets its own, reviewed periodically. Shanghai, Beijing and Shenzhen typically set the highest rates.

City/Region	Indicative Monthly Minimum Wage	Notes
Shanghai	Highest in China	Set by municipal government
Beijing, Shenzhen, Guangzhou	Among the highest tier	Set independently by each city
Other provinces	Vary significantly by region	Set by provincial/regional authorities

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	5 days (1–10 yrs' total career), 10 days (10–20 yrs), 15 days (20+ yrs)	Employer	Based on total years worked, not just tenure with current employer
Maternity Leave	98 days minimum (longer in most provinces, often 128–158 days)	Maternity insurance fund	Provincial top-ups are common and significant
Paternity Leave	Varies by province (commonly 7–30 days)	Employer or maternity insurance fund	Set at provincial level, not nationally
Sick Leave	Medical treatment period of 3–24 months depending on tenure	Employer (partial pay, min. 80% of local minimum wage)	Job-protected during the statutory medical treatment period

Payroll, Tax & Contributions

Employer Social Insurance Contributions (Illustrative, Shanghai/Beijing/Guangzhou-style)

Contribution	Employer Rate	Notes
Pension	~16%	Capped at 300% of local average salary
Medical Insurance	~10%	Capped at 300% of local average salary
Unemployment Insurance	~0.5%	Capped at 300% of local average salary

Work Injury Insurance	Employer-funded only; varies by industry risk	No employee contribution
Housing Provident Fund	5%–12% (varies significantly by city)	Matched equally by the employee

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Pension (16%)	\$480.00	16.00%
Medical Insurance (10%)	\$300.00	10.00%
Unemployment Insurance (0.5%)	\$15.00	0.50%
Housing Provident Fund (illustrative, 7%)	\$210.00	7.00%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,605.00	~153.5%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Social insurance and housing fund rates vary significantly by city — this example uses representative Tier-1 city rates; some cities set housing fund contributions as low as 5% or as high as 12%. Employee deductions (withheld separately) include their own social insurance/housing fund share (~22% combined) and progressive IIT.

Individual Income Tax (IIT, 2026)

China's IIT is progressive and calculated cumulatively across the tax year on comprehensive income, after a standard annual deduction of CNY 60,000 (CNY 5,000/month).

Annual Taxable Income (CNY)	Rate
0 – 36,000	3%
36,000 – 144,000	10%
144,000 – 300,000	20%
300,000 – 420,000	25%
420,000 – 660,000	30%
660,000 – 960,000	35%
Above 960,000	45%

Additional deductions are available for children's education, elderly care, housing loan interest and more, on top of the CNY 60,000 standard deduction.

Termination & Separation

Notice & Economic Compensation

Scenario	Requirement	Key Rule
No-fault dismissal (redundancy, incapacity)	30 days' written notice or 1 month's salary in lieu	Labour Contract Law, Art. 40
Economic compensation (severance)	1 month's salary per year of service (capped at local 3x average salary for high earners)	Labour Contract Law, Art. 47
Fixed-term contract non-renewal	Also triggers economic compensation, if the employer chooses not to renew	Labour Contract Law, Art. 46
Employee resignation	30 days' written notice (3 days during probation)	Labour Contract Law, Art. 37

★ HERO TIP

China's economic compensation formula is one of the most predictable in Asia — 1 month's salary per year of service, with a half-month for periods under 6 months — but two traps catch foreign employers out: the local 3x-average-salary compensation cap for high earners, and the fact that failing to sign a written contract within 30 days triggers automatic double-wage liability. Route every China exit through your HeroForce EOR to confirm the correct compensation base and cap.

Public Holidays 2026

China has 7 statutory public holidays, several extended into week-long breaks ("Golden Weeks") by shifting adjacent weekends into working days. 2026 features the longest-ever Spring Festival break at 9 days.

Date(s)	Holiday	Type
1–3 January	New Year's Day	National
~mid-February (9 days)	Spring Festival (Chinese New Year)	National — longest Golden Week on record for 2026
Early April	Qingming Festival (Tomb-Sweeping Day)	National
Around 1 May (5 days)	Labour Day	National Golden Week
19–21 June	Dragon Boat Festival	National
25–27 September	Mid-Autumn Festival	National

1–7 October

National Day Golden Week

National

Adjacent weekends are commonly swapped for working days to build these week-long breaks — always confirm the specific make-up workday schedule for the year, published by the State Council.

Ready to hire in China?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first China employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).